

Done!

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ECONOMICS

Paper 3 Multiple Choice (Supplement)

9708/32

May/June 2014

1 hour

Additional Materials: Multiple Choice Answer Sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

READ THESE INSTRUCTIONS FIRST

Write in soft pencil.

Do not use staples, paper clips, glue or correction fluid.

Write your name, Centre number and candidate number on the Answer Sheet in the spaces provided unless this has been done for you.

DO **NOT** WRITE IN ANY BARCODES.

There are **thirty** questions on this paper. Answer **all** questions. For each question there are four possible answers **A, B, C** and **D**.

Choose the **one** you consider correct and record your choice in **soft pencil** on the separate Answer Sheet.

Read the instructions on the Answer Sheet very carefully.

Each correct answer will score one mark. A mark will not be deducted for a wrong answer.

Any rough working should be done in this booklet.

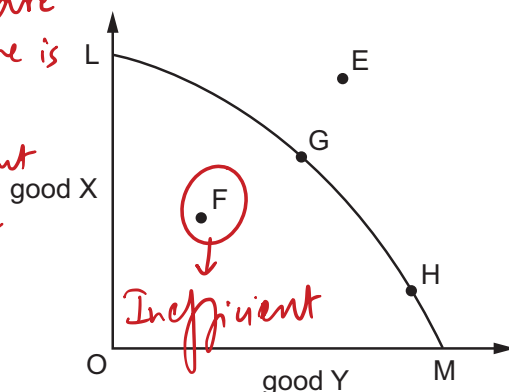
LarqK Mnshtaq

Solved with Reasons!

This document consists of **12** printed pages.

- 1 In the diagram, LM is an economy's production possibility curve.

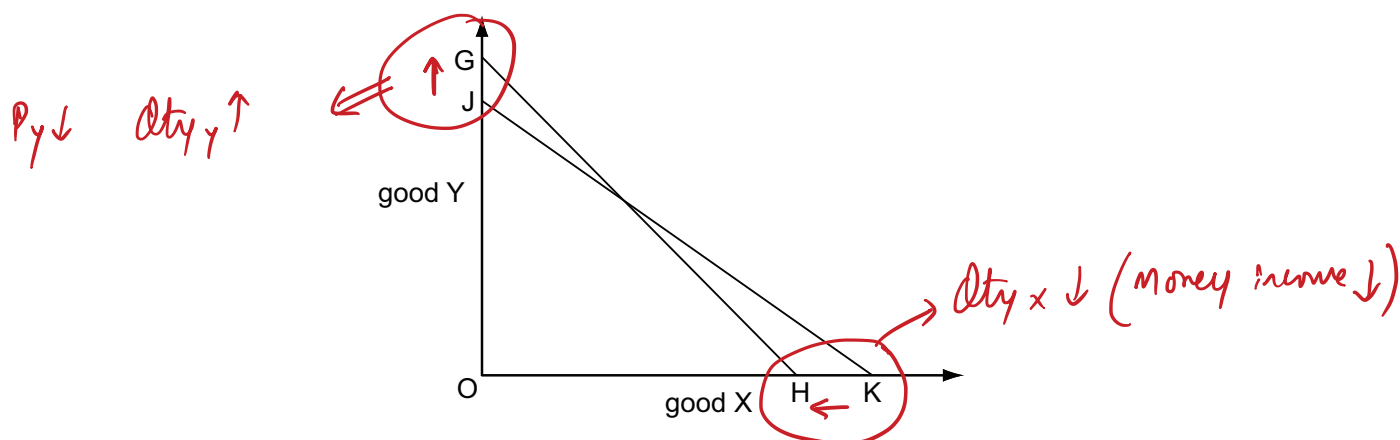
All the points on the PPC are productively efficient, only one is allocative. The point which is allocative is also productive but the point which is productive might be allocative!



Which statement must be correct?

- ✓ **A** F is productively inefficient. (Yes) → Allocative
- B** G and H are productively efficient but economically inefficient.
- C** Only E is economically efficient. (That's unattainable)
- D** Only G is productively efficient. (G and H both are productively efficient)

- 2 In the diagram, a consumer's initial budget line is JK.



Assuming no change in the price of X, what could explain a shift in the consumer's budget line to GH?

	price of good Y	consumer's money income
✓ A	decrease ✓	decrease ✓
B	decrease ✓	increase
C	increase	decrease ✓
D	increase	increase

- 3 The table shows the output of chairs at a factory when different numbers of employed.

number of workers	1	2	3	4	5
number of chairs produced	6	17	27	32	30

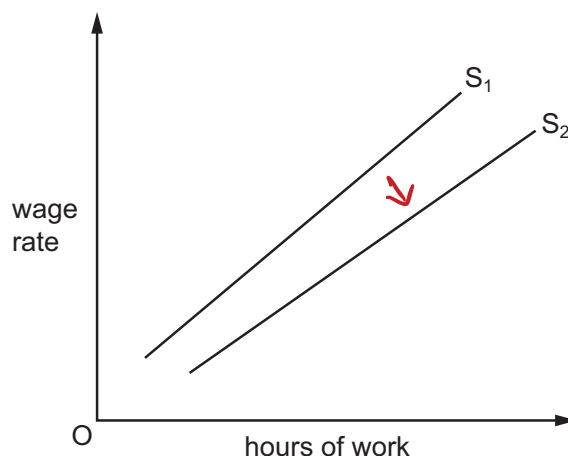
Marginal product 6 11 10 5 -2

Diminishing marginal returns to labour will set in when

- A the second worker is employed.
☒ B the third worker is employed.
 C the fourth worker is employed.
 D the fifth worker is employed.

As you use more of your variable factor (labour) with your fixed factor (land, capital) your total output first ↑ at an increasing rate (MP↑) then increases at a decreasing rate (MP↓) i.e. diminishing returns (or law of variable proportion) sets in.

- 4 In the diagram S_1 is an individual worker's supply of labour curve.



What could cause the curve to shift from S_1 to S_2 ?

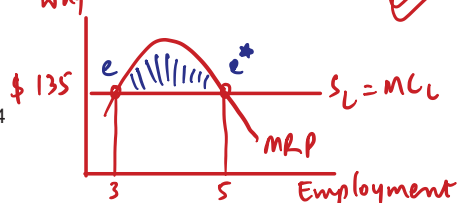
- A a decrease in the hourly wage rate (*It's the effect*)
 B a decrease in work satisfaction (*Supply ↓*)
 C a decrease in the opportunity cost of leisure (*Supply ↓*)
☒ D a decreased preference for leisure (*more work*)

- 5 The table shows the marginal revenue product of labour schedule of a profit-maximising firm producing under conditions of perfect competition.

number of workers	1	2	3	4	5	6	7
marginal revenue product (\$)	125	130	135	140	135	130	125

If the wage is \$135, what is the maximum number of workers the firm will employ?

- A 3 B 4 ☒ C 5 D 6



- 6 In 2004 union officials and businessmen in Argentina agreed to increase the minimum wage from 350 to 450 pesos.

wages ↑ Employment ↑

In which circumstances would such a rise increase employment?

- A Investment increases at a more rapid rate than consumption. *(Investment ↓ machines)*
- B Labour and product markets are competitive. *(Unemployment)*
- ☒ C The higher wage rate produces a proportionately greater rise in labour productivity. *(Productivity > cost)*
- D The minimum wage is set above the equilibrium level. *(Unemployment)*

- 7 The table gives information about a firm's costs over a given range of output in the short run and in the long run.

output (thousand)	21	22	23	24	25
short-run average cost (\$)	20	↓19	↓18	↓17	↓16
long-run average cost (\$)	12	↑13	↑14	↑15	↑16

ACL ↓ (EOS)

ACL ↑ (DEOS)

Which conclusions can be drawn about the characteristics of production over this output range in the short run and in the long run?

Diseconomies of scale

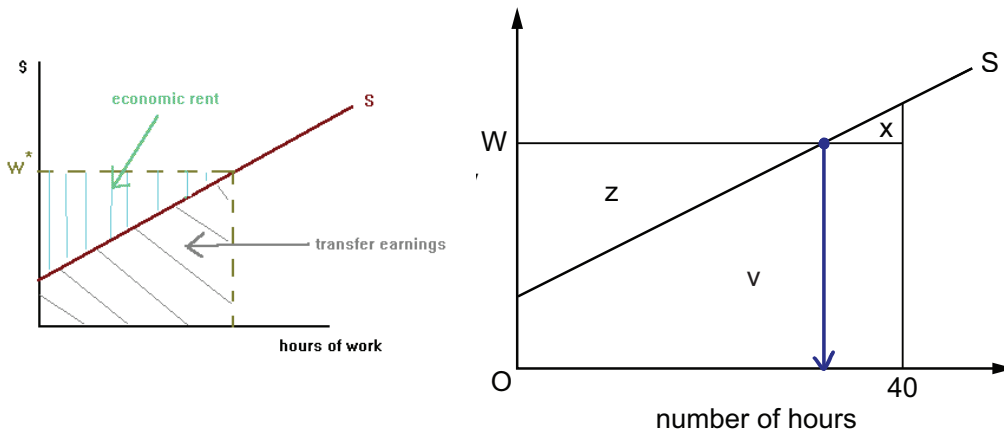
	<i>↑</i> short run	long run
A	decreasing returns to scale	diminishing returns
B	economies of scale ✓	diminishing returns
☒ C	increasing returns ✓	decreasing returns to scale ✓
D	increasing returns ✓	economies of scale

→ Shortrun

→ Shortrun

(Diseconomies of scale)

- 8 The diagram shows an individual worker's supply curve of labour.



The hourly wage is W and the worker is required to work a standard 40-hour week.

Which area measures the minimum amount per week he would be willing to accept?

- A v ☒ B $v + x$ C $v - x$ D $z - x$

- 9 The table shows a firm's marginal costs.

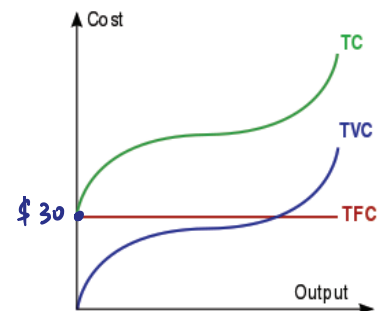
$$AFC = \frac{TFC}{Q}$$

$$6 = \frac{n}{5}$$

$$n = 30 \text{ (TFC)}$$

output	marginal cost (\$)	TC
0		30
1	40	70
2	30	100
3	20	120
4	30	150
5	40	190

$TC = TFC \Rightarrow$ At '0' level of output



The average fixed cost of producing 5 units is \$6.

What is the total cost of producing 5 units?

- A \$46 B \$70 ☒ C \$190 D \$230

- 10 What could explain why the proportion of total employment in an economy accounted for by small firms decreases?

A a trend towards the use of sub-contractors to produce specialised components

☒ B growing technical economies of scale in manufacturing [more use of capital intensive method]

C growth of the service sector and a decline in manufacturing

D the opening up of specialist markets as real incomes rise

more jobs
more employment

more small firms

Look down
11

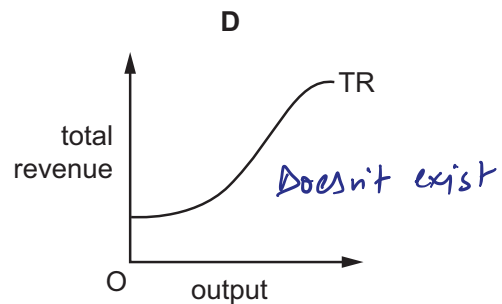
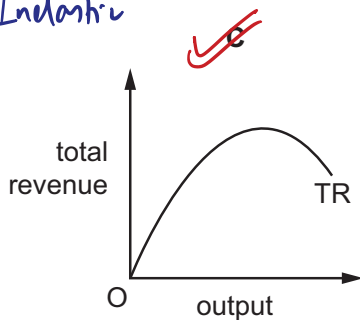
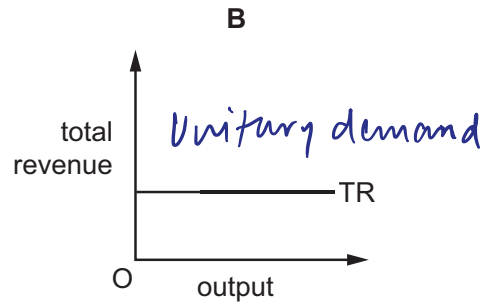
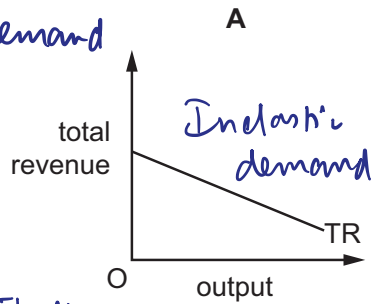
A monopolist faces a downward-sloping straight-line demand curve.

Which diagram shows his total revenue curve (TR)?

* Along the demand curve PED, is different at each price level

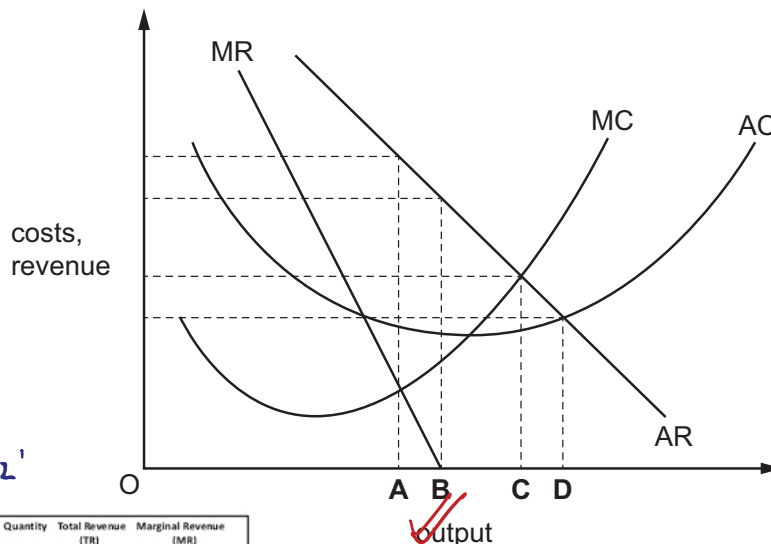
* Higher price :- Elastic

* Lower price :- Inelastic

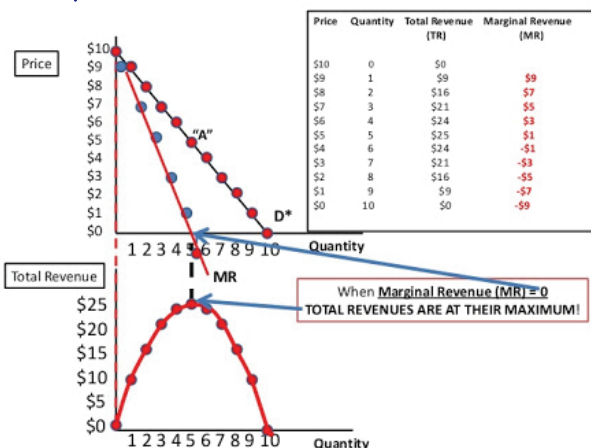


12 The diagram shows the cost and revenue curves of a monopolist.

Which output will the firm produce if its aim is to maximise sales revenue?
 $MR = 0$ (TR = max)



Applies to '11' and '12'



option A:- profit max level of output (MC=MR)

option C:- Allocative efficiency or Socially optimum level of output i.e. MC=Price

option D:- contestable/satisficing (AC=AR)

cost ↓, supply ↑, prices ↓

- 13 A country's government reduces the specific tax on packets of cigarettes.

Now:- more legal purchase

What could explain why this leads to an increase in tax revenue from cigarette sales?

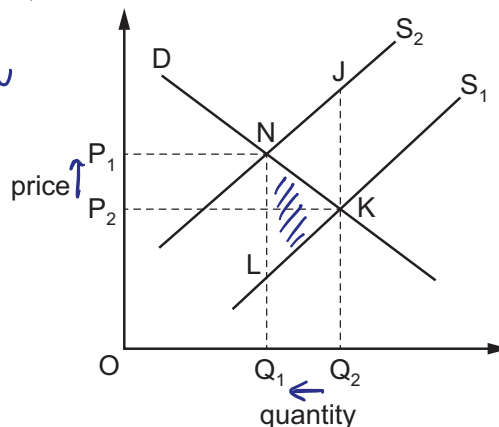
- A Consumers switch to dearer brands. (TR ↓)
 B The demand for cigarettes is price-inelastic. (TR ↓) [Prices ↓ & TR ↓]
 C The price of cigarettes falls by less than the reduction in tax. (TR ↓) (As consumption didn't increase by greater margin)
 D There is a reduction in illegal imports of cigarettes.

- 14 Which is not a policy designed to correct market failure?

- A competition policy (For monopoly) (Reduce welfare loss)
 B free inoculation against infectious diseases (Merit goods) (External benefit)
 C minimum wage policy (For workers)
 D regulations to limit river pollution (External cost)

- 15 In the diagram the imposition of a specific tax causes an industry's supply curve to shift from S_1 to S_2 .

Supply ↓, prices ↑, Qty ↓



* welfare loss identified from the new quantity, the vertical distance between 2 Supply curve 'LN'

Which area measures the resulting deadweight loss to society given that there was no market failure initially?

- A NLK B JKN C P_1NKP_2 D Q_1Q_2JN

- 16 Over a given period, money income in an economy increased by 6%. Over the same period, prices rose on average by 4%.

What can be deduced from this?

- A Real income increased by 2%.
 B The income velocity of circulation decreased by 2%.
 C The money supply increased by 10%.
 D The volume of output decreased by 2%.

$$\text{Real income \%} = \text{Money income \%} - \text{Inflation \%} \Rightarrow 2\% \uparrow$$

6% 4%

- 17 A closed economy has a banking system consisting of a single bank. The bank opens with a cash ratio of 10%. $20000 \times 10\% \Rightarrow 2000$

Customers deposit \$20 000 in cash. $18000 \times \frac{1}{10\%} \Rightarrow \180000 $\frac{1}{\text{reserve ratio}}$

Assuming subsequent net withdrawals of cash from the banking system are zero, what is the maximum amount of loans that the bank can create? *concept of Bank Multiplier*

- A \$2000 B \$18 000 ☒ C \$180 000 D \$200 000

- 18 What will cause the level of investment to fall according to the accelerator model?

- A a decrease in business confidence
☒ B a decrease in the rate of growth of national income
 C an increase in the price of capital equipment
 D an increase in the rate of interest

The Accelerator Effect, a Keynesian concept, is used to explain the level of investment in an economy. The accelerator effect refers to a positive effect on private fixed investment of the growth of the market economy. Investment is a function of changes in National Income, especially consumption.

- 19 In a closed economy with no government, consumption is 4/5 of income at all levels of income.

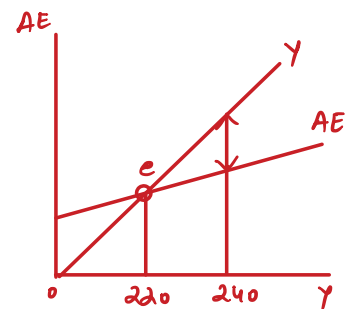
The present equilibrium level of income is \$220 million.

The full employment level of income is \$240 million.

$$\text{Multiplier} = \frac{1}{1-c}$$

By how much would investment have to increase to reach full employment?

- A \$2 million ☒ B \$4 million C \$16 million D \$20 million



- 20 Other things being equal, what will result in a decrease in aggregate demand?

- A a decrease in interest rates $R \downarrow, C \uparrow, I \uparrow, AD \uparrow$
 B a decrease in the balance of trade deficit $X \uparrow, M \downarrow, AD \uparrow$
☒ C a decrease in the government's budget deficit $Tax \uparrow, G \downarrow, AD \downarrow$
 D a decrease in the household saving ratio $\text{more consumed}, AD \uparrow$

19

$$\text{Multiplier} = \frac{\Delta RNI}{\Delta AE}$$

$$\frac{1}{1-c} = \frac{20}{\Delta AE}$$

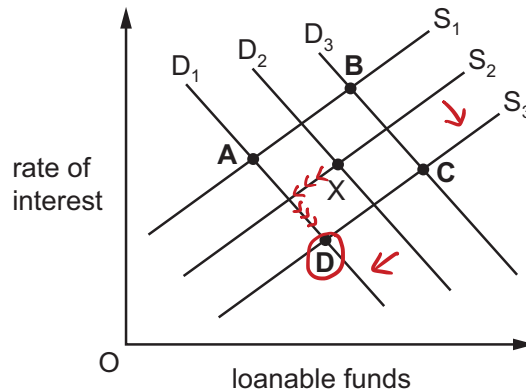
$$5 = \frac{20}{\Delta AE}$$

$$\Delta AE = 4$$

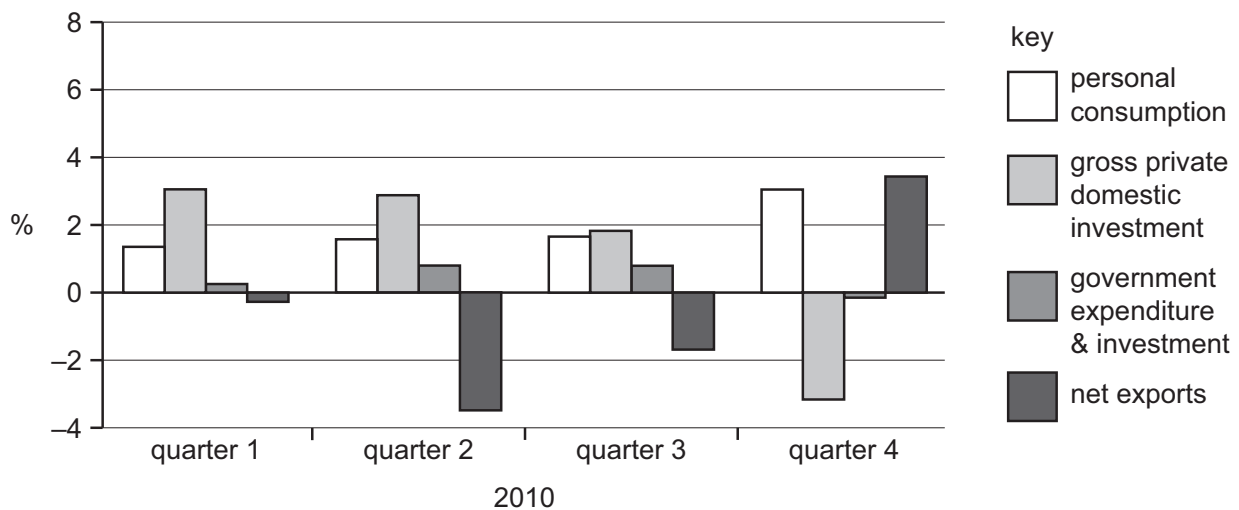
- 21 The diagram shows the market for loanable funds. The market is in equilibrium at point Demand ↓

What could be the new equilibrium point if there was a decline in business confidence or an increase in bank lending?

Supply ↑



- 22 The diagram shows the contribution of four components of aggregate demand to the change in US real GDP in the four quarters of 2010.



Which component made the greatest contribution and which component the least contribution to the positive growth in real GDP in 2010?

	greatest contribution	least contribution
A	gross private domestic investment	government expenditure and investment
B	gross private domestic investment	net exports
C	personal consumption	government expenditure and investment
☒ D	personal consumption	net exports

always positive
Always increasing(%)

Deficit increased from first quarter to second quarter

23 An economic recession leads to an increase in unemployment.

Why might this cause a fall in an economy's long-term growth rate?

- A It is impossible to regain consumption lost in recession. (It is possible)
- B Rising unemployment is likely to raise real wage levels. (Reduces)
- C Social attitudes become less accepting of unemployment. (More accepting)
- ☒ D There will be a harmful effect on human capital. [long term unemployment]
 ↳ Harder to return back! Skills worsens

24 The table shows the annual income thresholds per person used by the World Bank to classify countries according to their nominal Gross National Income (GNI) in 2000 and 2010.

$\frac{\text{New} - \text{Old}}{\text{Old}} \times 100$

	2000	2010
low income	\$755 or less	\$1005 or less
lower middle	\$756 to \$2995	\$1006 to \$3975
upper middle	\$2996 to \$9625	\$3976 to \$12 275
high income	\$9266 or more	\$12 276 or more

33.1%
 33.1% to 32.7%
 32.7% to 27.5%
 32.5%

What could explain the changes recorded in the table?

- A Income inequality between countries increased between 2000 and 2010. (No) (No change in %)
- B On average, real GNI in low income countries increased by roughly one third between 2000 and 2010. (Data is of nominal GNI)
- ☒ C On average, world prices increased by roughly one third between 2000 and 2010. (Yes) (33.1%)
- D Some of the countries in the upper middle income category in 2000 were re-classified as high income countries in 2010. (No) (Redistribution didn't take place)
- 25 What is likely to result in an increase in GDP per worker in a developing economy?
- A an increase in the employment rate (More workers)
- B an increase in the population of working age (More workers)
- ☒ C a shift from working in subsistence agriculture to working in manufacturing (More recorded output)
- D a shift from working in manufacturing to working in subsistence agriculture (Less record)

Subsistence agriculture is a self-sufficiency farming system in which the farmers focus on growing enough food to feed themselves and their entire families. The output is mostly for local requirements with little or no surplus trade.

Extraction/Exploitation $\nwarrow$ Research and development $\uparrow$

11

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- 26 It is often argued that the present rate of economic growth will soon lead to the exhaustion of reserves of material resources, such as minerals and oil.

What does this argument fail to take into account?

- A the drawbacks of present GDP levels as an indicator of the 'happiness' of the population
- ☒ B the effect of increasing resource prices on the discovery and exploitation of new reserves
- C the right of future generations to enjoy present standards of living
- D the role of education in economic development

'Additional'

- 27 What will be the impact of an increase in marginal tax rates?

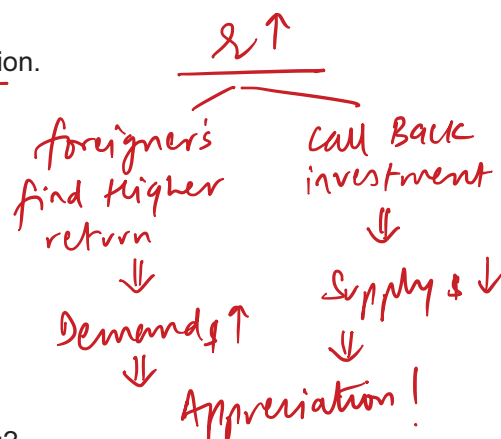
- A an increase in the propensity to save [less income, less saved]
- B an increase in the value of the investment multiplier (Reduces)
- C a strengthening of work incentives (Dis-incentive)
- ☒ D a strengthening in the operation of automatic stabilisers

Automatic stabilizers are economic policies and programs designed to offset fluctuations in a nation's economic activity without intervention by the government or policymakers on an individual basis.

- 28 A central bank increases interest rates in order to control inflation.

What is likely to increase as a result of this?

- A firms' sales revenue [save $\uparrow$, spend $\downarrow$, TR $\downarrow$]
- B investment expenditure [$R\uparrow$, $I\downarrow$]
- C net capital outflows [inflows]
- ☒ D the exchange rate (Appreciation)



- 29 What is most likely to result from a devaluation of the £ sterling?

- ☒ A an increase in foreign direct investment in the UK by global manufacturing firms (cost $\downarrow$)
- B an increase in the number of UK residents taking holidays abroad (Expensive for UK residents)
- C an increase in the number of UK students applying for places in North American universities (Expensive)
- D an increase in the supply of foreign workers seeking temporary employment over the summer in the UK

No!

- 30 A fair trade scheme encourages consumers in developed countries to buy food from farming cooperatives in developing countries at a higher price than that charged by commercial firms.

Why might this be harmful to economic development?

- A It will cause a worsening in the terms of trade of developing economies. *(Higher price improves)*
- B It will reduce the amount of government aid provided to developing economies.
- C It will reduce the prices subsistence farmers receive for their produce.
- ☒ D It will slow the process of economic diversification in developing economies.

↓
as it will be specialized,
which increases risk